

The Dark KNIGHT

Raju's remarkable rise and fall is a cautionary tale, a family background of wealth, clout and enterprise that gave them huge honour and status and yet it was never enough

| By Amarnath K. Menon |

His plan for the latter half of January was to be in Davos for the World Economic Forum, networking with the rich and powerful and absorbing this year's theme, 'Dealing with a Post-Crisis World'. Instead, he finds himself in the company of burglars and murderers in a Hyderabad jail, coming to terms with the post-crisis world he now inhabits. It was a crisis of his own making and one that has, overnight, turned him from corporate hero to villain, India Inc's Dark Knight, perpetrator of the biggest financial fraud in Indian history. It is a fall from grace that is almost surreal in terms of the public image and the brutal reality.

That Byrraju Ramalinga Raju, 54, was a classic Jekyll and Hyde character was something no one, not his friends, corporate colleagues, rivals, political patrons, or large sections of the Andhra Pradesh public, ever imagined. In Garagaparru, near Bhimavaram, where he was born, and surrounding villages in West Godavari district, supporters huddled together and held solidarity meetings. That is understandable. The Byrraju Foundation set up in the memory of his father Byrraju Satyanarayana Raju, the late founder of the Satyam Group, is active in about 200 villages in six districts of the state, transforming the lives of about one million poor people. He was also the hero of the urbane middle class, especially in cities like Hyderabad, but the rural development initiatives Raju launched as part of the corporate social responsibility activities of Satyam are a legacy that will clearly outlive the huge loss of reputation in his newly revealed avatar as the biggest conman in Indian corporate history.

Raju's life and times is the reverse of the rags to riches story. He was born into a successful agrarian family in the Godavari delta from where his father moved to Hyderabad in 1962 to become a pioneer in viticulture. He encouraged fellow Rajus to invest in land in the northern suburbs of Hyderabad. Their agribusiness initiatives made the outskirts of the city a well-known area for growing the Anab-e-Shahi and Thomson seedless varieties of table grapes. Satyanarayana branched out into real estate by setting up

Satyam Homes and, later, Satyam Constructions, which a decade ago morphed into Maytas Infra. Even back then, the art of cultivating politicians was a lesson that he would pass on to his sons. A well-known visitor to the family farm during Satyanarayana's days was former chief minister N. Janardhana Reddy. Ramalinga in turn befriended the late Orissa chief minister Biju Patnaik.

Satyanarayana also gave Ramalinga the headstart that would lay the foundation for the incredible success story that would turn his son into a corporate icon. After the young Raju graduated from the prestigious Andhra Loyola College, Vijayawada, with a B.Com degree in the mid-'70s, the father sent him to Ohio State University to do his MBA. He returned in 1977 and plunged into the promising real estate sector, launching Dhananjay Hotels and putting up two of the earliest highrises in central Hyderabad and also Satyam Spinning and Weaving Mills. He showed early vision and entrepreneurship by expanding rapidly, getting loans from banks to start Satyam Homes' first residential project as well as getting involved in trading through Satyam Impex, a company dealing in exports of shoe uppers, granite and other products.

With Satyam Constructions becoming a cash cow, it fuelled his true ambition to create an independent enterprise that would ensure fame and fortune outside the confines of the state. He had developed an interest in computers and software as part of his MBA course and Raju felt it was the right time to invest in information technology. This was 1987, when IT was in its infancy. Along with electronics and communications engineer D. Venkata Suryanarayana Raju (no relation) and brother Rama Raju, he launched Satyam Computers that year. In 1990, its turnover was Rs 56 lakh. Then riding the stock market boom in 1992, the company went for a public issue that was oversubscribed 17 times. Within two decades, he had taken the company into the \$2 billion-level. He said then that he had "an ardent desire to innovate and excel" in order to be among the foremost IT companies in the country as a leading global consulting and information technology services provider.